



Anlage 11 zum Antrag auf GAMES BW Förderung gemäß der Richtlinie für die Förderung von Games in Baden-Württemberg vom 01.07.2020

VERTRÄGE MIT KOOPERATIONSPARTNERN, KOPRODUZENTEN, PUBLISHERN UND/ODER DISTRIBUTOREN

Bitte fügen Sie als Anlage 11 alle existenten und für das Projekt relevanten Verträge mit Kooperationspartnern, Koproduzenten, Publishern, Distributoren und, wo relevant, Dienstleistern bei. Bitte listen Sie die beigefügten Verträge zur Übersicht auch in untenstehender Liste auf. Sollte es keine geben, notieren Sie dies bitte.

Übersicht

Nr.	Name Vertragspartner	Art des Vertrages
1	Headup GmbH	License and Publishing Agreement (Screw Drivers Early Acc.)
2	Headup GmbH	Letter of Intent (Screw Drivers Produktion)
3		(Letter of Intent ist in Anlage 10 zu finden)
4		
5		
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License and Publishing Agreement

Headup GmbH
Nordstr. 102
52353 Düren
Germany
UID DE286515508

("Headup")

and

Creactstudios UG (haftungsbeschränkt)
Bellensteinstraße 10
77704 Oberkirch
Germany

("Developer")

Headup and Developer, each being a "**Party**" and together the "**Parties**", agree as follows:

Preamble

Headup develops and publishes PC, console and mobile games for the global gaming market and distributes interactive software products (both digitally and physically) by various means either directly or through its affiliated companies, affiliate partnerships and arrangements.

Developer develops or owns certain interactive software products described in this agreement including its annexes (the "**Agreement**") and desires to have such interactive software products distributed digitally and/or manufactured and distributed on physical media in the countries/territories specified in **Annex 8** of this Agreement (the "**Territory**").

Developer desires to appoint Headup as its publishing partner in the Territory and Headup accepts such appointment on the terms and conditions set out in this Agreement.

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1 Subject Matter of the Agreement

- 1.1 Developer shall develop the interactive software product described in the Game Design Document in **Annex 1** (the "**GDD**"), the product specifications set out in **Annex 2** (the "**Specifications**") and the Milestone Plan in **Annex 3** (the "**Milestone Plan**"), including all applicable updates, patches, enhanced versions, additional content, features, customizations, manuals, game instructions, and related marketing content such as demos, trailers, screen shots, video clips and sound bites (the "**Game**") according to the GDD, the Specifications and the Milestone Plan and grant to Headup the rights set out in this Agreement.
- 1.2 Headup shall publish the Game in the Territory during the Term and pay to Developer the Development Funding Payment and the Royalties (as defined in Section 8), each as set out in this Agreement.

2 Development, Delivery and Acceptance

- 2.1 Development
- 2.1.1 Developer shall develop the Game in milestones described in the Milestone Plan in accordance with the GDD, the Specifications and as further set out in this Agreement (each a "**Milestone**").
- 2.1.2 Unless agreed otherwise in the GDD, the Specifications or the Milestone Plan, Developer develops the Game and each Milestone with a high degree of skill and care, meeting all applicable industry standards.
- 2.1.3 Developer develops the Game in such a manner that Headup may publish the Game (as described in Section 5) on the platform(s) set out in the Specifications (the "**Platform(s)**"). As far as reasonable, Developer shall develop the Game in such a manner as to ensure that publishing the Game on platforms other than the Platform(s) is technically feasible and may be implemented in accordance with the process set out in Section 5.1.8. If it is Headup's responsibility to port the Game to the Platform(s) or platform(s) other than the Platform(s) itself or through a third party, Developer shall provide Headup with project files and any other material required to enable Headup to create a full port of the Game.
- 2.1.4 In the course of the development, Developer observes and complies with all technical requirements of the manufacturers/operators of the Platform(s). Developer will use its best efforts to support Headup in all steps of the submission process of the Game at the Platform(s). If a manufacturer/operator of a Platform refuses to publish the Game on the respective Platform, Developer will rectify any reason for such non-compliance without undue delay at its own costs until the Game has been successfully published on the respective Platform(s). This Section 2.1.3 shall apply accordingly to all other platforms approved by Developer in accordance with Section 5.1.8.
- 2.1.5 The Parties agree that the Game shall be developed and published (as described in Section 5) in the language(s) set out in **Annex 4** (the "**Language(s)**"). The localisation of the Game into the Language(s) and any other language(s) that the Parties may agree on during the Term is subject to the requirements and process described in **Annex 4**.
- 2.1.6 Developer develops the Game in such a manner as to ensure that Headup may make use of its rights and Developer may comply with its obligations set out in Section 2.2.8.

- 2.1.7 Developer shall develop and provide Headup with any updates, patches, enhanced versions, additional content, features, customizations, manuals, game instructions, and related marketing content such as demos, trailers, screen shots, video clips and sound bites as soon as they are available or as reasonably requested by Headup from time to time.

2.2 Delivery and Acceptance

- 2.2.1 Developer delivers each Milestone to Headup in the manner, form and language(s) and including all manuals, documentation and other information on or before the respective delivery date, each as set out in the GDD, the Specifications, the Milestone Plan and this Agreement (the "**Delivery**" or "to **Deliver**").

- 2.2.2 After the development and prior to the Delivery, Developer thoroughly tests each Milestone in line with at least the minimum test requirements set out in the GDD and the Specifications, rectifies any Defects identified and delivers only tested and (if applicable: rectified) Milestones to Headup, including documentation setting out the test procedure carried out and stating the test results in relation to such Milestone. If technically possible at the respective stage of production, Developer shall carry out tests of Milestones relating to any PC build not in a development environment but on a clean install of the Windows environment under consumer conditions.

"**Defect**" means any bug, defect or error in the Game including (without limitation) (i) any way in which the Game does not reflect the details set out for the respective Milestone in the GDD, the Specifications or the Milestone Plan; (ii) any failure of the Game to function properly on the Platform(s) or other platforms or operating system software approved by Developer in accordance with Section 5.1.8; (iii) any inability of the Game to perform repeatedly without interruption, loss and/or corruption of data or erroneously or improperly formatted output; (iv) any misspelled or incorrect text (other than any text supplied by Headup); (v) any audio-visual display or text which in the reasonable opinion of Headup is offensive or could adversely affect the name or reputation or goodwill of Headup or the Game; (vi) any virus and/or program that copies itself to other storage mediums and destroys data, causes damage to the end-user's files or creates nuisance for the end-user in the source code of the Game (including, without limitation, any worm, time bomb, booby trap, trap door, hidden content or other programming or operating feature which is not part of the proper operation of the source code of the Game); (vii) any feature, material or other matter in the source code of the Game that is objected to by the operator of a Platform or other platform approved by Developer in accordance with Section 5.1.8, ratings organisation or governmental agency; and (viii) any other bug, error or defect in the source code of the Game that has an adverse impact on the use, performance, or operability of the Game or that Headup reasonably considers to lead to an unsatisfactory customer experience. The Parties agree that the current state of the art in terms of technology does not allow development and manufacture of a game which is absolutely defect-free for all conceivable hardware configurations. Therefore, the Game shall be deemed to be free of Defects if it meets the state of the art in terms of technology and can be deemed free of defects according to industry standard. In cases of doubt, Developer shall be responsible for proving that the industry standard has been met.

- 2.2.3 Headup tests each Milestone that Developer Delivers in accordance with the process described in this Section 2. Developer provides Headup with any material, documentation, information and technical support reasonably required to efficiently and comprehensively test the respective Milestone.

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- 2.2.4 Headup accepts in writing (e-mail being sufficient) any Milestone which after testing Headup considers to be free of Defects and in accordance with the requirements set out for this Milestone in the GDD, the Specifications and the Milestone Plan (the "**Acceptance**" or to "**Accept**").
- 2.2.5 If Headup identifies Defects during testing, Headup rejects Acceptance and notifies Developer of all Defects identified together with reasonable documentation demonstrating each Defect. Headup shall categorise each Defect as A-, B- or C-Defect as per **Annex 2**.
- 2.2.6 Developer corrects Defects notified to it by Headup and Delivers a rectified version of such Milestone to Headup for re-testing as follows:
- a) A-Defects shall be corrected without delay by delivery of a patch (rectification) or by delivery of a version of the Game free of Defects (replacement), but in any event no later than within five (5) Business Days after receipt of Headup's notification of such Defect.
 - b) B- and C-Defects may be corrected jointly at specific intervals of time mutually agreed between the Parties (e.g. in the course of the next Milestone or through more than one patch, e.g. three (3) and six (6) months after delivery of the respective Milestone).

"**Business Days**" means Monday to Friday excluding public holidays in Gothenburg, Sweden.

- 2.2.7 The process described in Section 2.2.3 through 2.2.6 shall iterate for each Milestone until either (i) Headup has Accepted that Milestone pursuant to Section 2.2.4, (ii) Headup has terminated this Agreement pursuant to Section 2.2.8 or 11, or (iii) the Parties have mutually agreed to waive the respective Defect, whichever is earlier. The delivery dates set out in the Milestone Plan for the relevant Milestones remain unaffected and shall not be deemed extended during this process.
- 2.2.8 Without prejudice to any of Headup's other rights and remedies under this Agreement, if any Milestone due to Developer's fault:
- a) is not delivered to Headup in a form complete and fit for testing at the delivery date for that Milestone set out in the Milestone Plan; or
 - b) demonstrates Defects after the second submission of that Milestone to Headup for (re-)testing according to this Section 2, then

Headup may at its sole discretion (i) withhold any instalment of the Development Funding Payment relating to such Milestone until Acceptance, (ii) rectify any Defect and offset related costs against the Royalties or Development Funding Payment relating to any Milestone, (iii) reduce any instalment of the Development Funding Payment relating to such Milestone by an amount of five (5) percent, (iv) terminate this Agreement with immediate effect, and request Developer to repay to Headup any amount paid by Headup as Royalties or Development Funding Payment under this Agreement, (v) claim damages subject to the limitations set out in Section 13, and/or (vi) exercise any other rights Headup may have under applicable law.

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- 2.2.9 If Developer culpably fails to Deliver the last Milestone set out in the Milestone Plan to Headup in a form complete and fit for testing within twenty (20) Business Days of the delivery date for that Milestone set out in the Milestone Plan, then Headup may, without obligation to pay any further remuneration, development funding payment or royalty to Developer, terminate this Agreement and request Developer to repay to Headup any amount paid by Headup as Royalties or Development Funding Payment under this Agreement.

3 Change Management

- 3.1 Prior to the Delivery of the last Milestone set out in the Milestone Plan, Headup may request from Developer changes to the Game (including without limitation material deviations from the GDD, the Specifications or the Milestone Plan) in writing (e-mail being sufficient). Developer shall implement each change requested by Headup which is reasonably required to ensure that the Game may be successfully Published as described in Section 5 at its own costs within fifteen (15) Business Days after receipt of the respective change request.
- 3.2 Developer may request from Headup changes to the order of Delivery of Milestones set out in the Milestone Plan in writing (e-mail being sufficient), provided that such changes do not adversely affect the development or Publishing and do not entail a delay of the Delivery of the last Milestone set out in the Milestone Plan. Developer provides Headup with reasonable supporting documentation informing Headup of potential consequences of such change. Headup notifies Developer in writing (e-mail being sufficient) whether it accepts or rejects Developer's request without undue delay. If Headup accepts Developer's request, Developer implements the respective change without undue delay after being notified of Headup's acceptance. If Headup rejects Developer's request, each Party shall continue to execute this Agreement without the respective request being taken into account.
- 3.3 If a change is implemented by Developer, the Parties shall amend the GDD, the Specifications and the Milestone Plan accordingly.

4 Sequels

- 4.1 Developer grants to Headup the right of first refusal for the Publishing (including development, if applicable) of any derivative work, new version, additional iteration, spin-off or port of the or additional content to the Game that shares traits similar to the original Game, in particular any work that continues the story of, or expands upon the Game (the "**Sequel**"). Developer will provide Headup with a reasonable exclusive offer to Publish such Sequel with substantially similar conditions to the Publishing of the Game under this Agreement together with comprehensive information reasonably required to evaluate the commercial opportunity of such Sequel. Headup shall have twenty (20) Business Days to accept or reject Developer's offer.
- 4.2 If Headup does not respond to the offer within this period or rejects the offer, then Developer will be free to develop such Sequel independently or together with third parties. If Headup accepts the offer, then (i) Headup and Developer undertake to work together to develop the Sequel and shall mutually agree upon relevant terms of the development and Publishing of the Sequel as an annex to this Agreement and (ii) subject to any deviations agreed upon in relation to the Sequel, the Sequel shall be deemed and treated as a Game under this Agreement.
- 4.3 Sections 4.1 and 4.2 shall apply accordingly to any material commercial exploitation of the Game in another form of media (e.g. television, film or novelisation).

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5 Publishing; Grant of Rights

5.1 Publishing License

5.1.1 Subject to the terms of this Agreement, Developer grants to Headup the exclusive, sub-licensable right to:

- a) use, promote, advertise, market and publish;
- b) reproduce, manufacture, transmit, translate, adapt, modify, rearrange, port, shorten, divide up or combine with other works;
- c) perform, display, demonstrate, exhibit and make available to the public; and
- d) distribute (through any channels, either directly or through any number and level of third-party distributors, including by way of publishing of the Game by any and all forms and methods of electronic publishing including through download and streaming (the "**Digital Publishing**") as well as by publishing on physical media such as CD, DVD, Blu-ray or any other physical medium, as stand-alone packaged product or in combination with other software or hardware (the "**Physical Publishing**"), sell, rent, license, and otherwise commercially exploit

the Game in the Territory on the Platform(s) in the Language(s) during the Term (as specified in Section 11.1.2) (the "**Publishing License**" and each act of making use thereof the "**Publishing**" or "to **Publish**").

5.1.2 The Publishing License shall also apply to:

- a) all artworks, animations, dialogues, stories, concepts, game play elements, illumination models, graphics assets (models, environments etc.), as well as music and special effects contained in the Game as well as to any version of the Game localised in accordance with **Annex 4** or ported in accordance with Section 5.1.8; and
- b) any updates, patches, enhanced versions, additional content, features, customizations, manuals, game instructions, and related marketing content such as demos, trailers, screen shots, video clips and/or sound bites to the Game that Developer supplies to Headup according to Section 2.1.7.

5.1.3 Headup's right to port the Game (forming part of the Publishing License as described in Section 5.1.1 b)) includes Headup's right to port the Game itself or through a third party to the Platform(s) or any platform(s) other than the Platform(s) (as described in Section 5.1.8). For the avoidance of doubt, the source code of the Game shall always remain the property of Developer or any third-party developer of the source code involved in the development (as the case may be).

5.1.4 Headup Publishes the Game at its sole discretion and has full control over the Publishing. Headup is not obligated to make or continue to make the Game commercially available and will determine at its sole discretion pricing, packaging, bundling, licensing/sale, marketing strategy and any other part of Publishing. Headup uses reasonable commercial efforts to Publish the Game.

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- 5.1.5 Headup may only determine and/or alter the title of the Game upon Developer's prior consent (not to be unreasonably withheld or delayed). Headup may freely determine, alter and/or translate any subtitles of the Game, if in Headup's sole discretion such determination, alteration or translation is reasonably required to successfully Publish the Game in the Territory (or parts thereof). Headup may protect and/or acquire corresponding national and international trademarks and secure for itself corresponding logos, trade names (including game names), domains and/or further name rights. Developer will neither directly nor indirectly contest a corresponding application by Headup nor take any other measures which may impair such rights of or applications by Headup.
- 5.1.6 Developer provides Headup with reasonable assistance for Publishing and supplies Headup with the marketing material, each as specified in **Annex 5** as well as any assets and other material that may be useful for the Publishing of the Game. Developer grants to Headup the non-exclusive, non-transferable, sub-licensable, fully paid up right to use such marketing material, assets and other material for the Publishing.
- 5.1.7 Developer notifies Headup of and provides Headup with any required credits, legal lines, copyright or trademark notices relating to the Game that Headup shall use and communicate in the context of the Publishing.
- 5.1.8 Any Publishing of the Game on platforms other than the Platform(s) is subject to Developer's approval (such approval not to be unreasonably withheld or delayed) and the process, responsibilities and other provisions in relation to such porting set out in **Annex 4**. Developer's approval shall be deemed given if, after being notified by Headup of its intention to port the Game to another platform, Developer does not respond within ten (10) Business Days upon receipt of such notification. In case Developer approves such additional porting, the Parties shall port the Game following the process specified in **Annex 4** and amend the GDD, the Specifications and the Milestone Plan accordingly.
- 5.2 Ancillary Rights
- 5.2.1 Developer grants to Headup the non-exclusive, non-transferable, sub-licensable, fully paid up right to use for the Publishing:
- a) any trademarks, logos, trade names (including game names), domains and/or further name rights and any other designations of origin of Developer; and
 - b) any software, equipment, development tools, utilities, technology and other intellectual property of Developer
- relating to the Game or required in order to conduct the development, Delivery, Acceptance and/or Publishing.
- 5.2.2 If the Parties, during the Term, become aware that the grant of rights under this Section 3 is not sufficient for the purposes of this Agreement, then the Parties shall negotiate in good faith the grant of further rights to enable the Parties to meet the commercial intention and subject matter of this Agreement.
- 5.3 Remedies

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- 5.3.1 By way of exception to Section 17.5 below, Developer authorizes Headup to carry out, in its sole discretion and in its own or Developer's name, any actions required to enforce, defend or otherwise secure the rights that Developer owns or is granted in relation to the Game and/or that Developer grants to Headup under this Agreement, including (without limitation) in connection with any (potential) anti-piracy efforts or trademark, logo or trade name infringements.
- 5.3.2 Developer shall support Headup in carrying out the actions set out in Section 5.3.1, including (without limitation) by:
- a) cooperating with Headup in the application, prosecution, maintenance, enforcement, and defence of any domestic or foreign patent application, application for invention, patent or invention certificate, trademark, logo, trade name (including game name), domain and/or further name right or other designation of origin;
 - b) appearing in, or assisting in preparations for, all hearings, depositions or other proceedings; and
 - c) appointing Headup as attorney-in-fact to take any steps, sign documents, and take any other actions reasonably necessary.

6 Support and Maintenance

- 6.1 Developer shall provide Headup with technical and customer support regarding the Game as further described in **Annex 6**. This includes (without limitation) Developer's obligation to:
- a) immediately correct all Defects in the Game that occur after Delivery and Acceptance of the respective Milestone (including by way of providing temporary workaround solutions, if necessary) in accordance with the principles set out in Section 2.2.6; and
 - b) supply Headup with a document of 'frequently asked questions' and answers, known problems and solutions and any other relevant support history.
- 6.2 Developer shall support and provide assistance to Headup regarding Headup's provision of technical and customer support to end-users of the Game, as requested by Headup from time to time.
- 6.3 For the avoidance of doubt, Developer shall provide support and maintenance pursuant to this Section 6 and **Annex 6** also in relation to Defects or other issues for which Headup did not expressly reserve the right to request remedies in the course of Acceptance.
- 6.4 The Parties agree that the technical and customer support provided pursuant to this Section 6 is provided by Developer as part of its obligations under this Agreement and that consideration for such support is included in the Royalties pursuant to Section 8.

7 Subcontractors

- 7.1 Developer may not deploy, or otherwise assign any of its obligations under this Agreement to, any subcontractor, freelancer or other third party without the prior written approval (e-mail being sufficient) of Headup (such approval not to be unreasonably withheld).

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- 7.2 As from the effective date of this Agreement, the subcontractors, freelancers and other third parties listed in **Annex 7** shall be deemed to be approved by Headup.
- 7.3 Notwithstanding the foregoing, Developer shall only deploy, or otherwise assign any of its obligations under this Agreement to, any subcontractor, freelancer or other third party with which it has entered into a valid written agreement that includes sufficient provisions to ensure that Developer owns or is granted any and all rights necessary to comply with its obligations under this Agreement.
- 7.4 Upon Headup's request, Developer shall provide Headup with (i) a copy of any written agreement entered into as specified in Section 7.3, or (ii) any other form of confirmation sufficiently demonstrating Developer's compliance with its obligation specified in Section 7.3.

8 Royalties and Development Funding Payment

- 8.1 Headup pays to Developer a fully recoupable development funding payment to cover internal and external costs of Developer required for the development of the Game, payable in instalments relating to the Delivery of different Milestones as specified in **Annex 8**.
- 8.2 As consideration for the rights granted by Developer to Headup under this Agreement, Headup pays to Developer royalties calculated on the basis of the Net Revenue (as defined in **Annex 8**) in the form and amount and for the periods specified in **Annex 8**.
- 8.3 Subject to the Acceptance of each respective Milestone, Headup will pay the Development Funding Payment (as defined in **Annex 8**) for each Milestone specified in **Annex 8** within twenty (20) Business Days after receipt of a valid invoice from Developer for the respective Milestone setting out Headup's full legal name, post address, tax ID (if applicable), date, unique invoice number, amount of applicable taxes and tax rates, and Developer's bank account. If Developer submits its invoice prior to the Acceptance of the respective Milestone, payment of the Development Funding Payment shall be due within twenty (20) Business Days after Acceptance.
- 8.4 Notwithstanding any other provision set out in this Agreement, at any time during the Term and after termination or expiration of this Agreement, Headup has the right to offset any and all amounts which Headup owes to Developer hereunder against any and all amounts which Developer owes to Headup hereunder.
- 8.5 Unless set out otherwise in **Annex 8**, all amounts payable pursuant to this Section 8 shall be understood as excluding VAT, if applicable.

9 Reporting and Payment

- 9.1 Unless set out otherwise in **Annex 8**, Headup shall report the Net Revenue (as defined in **Annex 8**) to Developer, reasonably setting out the items relevant for the calculation of the Net Revenue within one month after the end of each calendar quarter. Headup will pay the Royalties (as defined in **Annex 8**) within twenty (20) Business Days after receipt of a valid invoice from Developer for the respective calendar quarter setting out Headup's full legal name, post address, tax ID (if applicable), date, unique invoice number, amount of applicable taxes and tax rates, and Developer's bank account.

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- 9.2 Headup agrees to keep accurate books and records covering all transactions relating to the Publishing of the Game. Once per calendar year, Developer shall be entitled to examine such books and records at Developer's own costs during Headup's usual office hours upon twenty (20) Business Days' prior written notice itself or through an independent accountant or auditor bound by professional or contractual secrecy obligations materially similar to the obligations of Developer set out in Section 14. Developer will notify Headup in writing of the results of the examination. Headup will pay Developer any undisputed underpayments revealed by the examination in accordance with the payment provisions set out in Section 8 and **Annex 8**. Headup will subtract any overpayments revealed by the examination from the next payment due to Developer.

10 Taxes

If applicable (for example in the case where there is no tax-exemption treaty in force between the territory of Developer and the territory of Headup), Developer acknowledges that taxes of a withholding nature may be required by law to be deducted from monies payable to Developer in this Agreement. If so required, Headup shall be entitled to pay the monies due after deduction of the amount required to be withheld or deducted, and Headup shall pay over to the relevant taxation authority within the period permitted by law the amount of such withholding or deduction. Headup shall use reasonable efforts to provide Developer with written evidence (including certificates where appropriate) of taxes so withheld or deducted and paid over. Headup shall afford Developer reasonable assistance in attempting to obtain any appropriate tax credits relating to this Agreement in respect of payments made to Developer and in the event that Headup itself receives a tax credit (and is able to utilise the same) or a refund in respect of any taxes withheld then if Headup has previously made a deduction as described above in respect of payments made to Developer in relation to payments to which such tax credit or refund relates then Headup will credit the same (or a proportionate share thereof) to Developer. No warranties, express or implied, are given by Headup as to the availability or otherwise of tax credits.

11 Term and Termination

11.1 Term

- 11.1.1 This Agreement shall enter into force as from 1.4.2024 and shall remain in full force for a period of 7 years (the "**Initial Term**").

- 11.1.2 Upon expiration of the Initial Term, the Agreement shall be automatically renewed by additional periods of one (1) year each (each an "**Additional Term**"), unless and/or until terminated by either Party by giving three (3) months' prior written notice to the end of the Initial Term or the then current Additional Term (the "**Term**"). For the avoidance of doubt, references to Headup's rights under this Agreement relating to the Game during the Term shall be construed as references including any period after termination or expiration of this Agreement described in Section 11.2.5 and 11.2.6.

11.2 Termination

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- 11.2.1 Prior to the Delivery of the last Milestone set out in the Milestone Plan, Headup may terminate this Agreement at any time with twenty (20) Business Days' prior written notice. Upon such termination, Headup's sole payment obligation to Developer will be to pay within fifteen (15) Business Days after receipt of the termination notice by Developer:
- a) all outstanding Development Funding Payments due for Milestones Accepted by Headup as of the date of receipt of the termination notice by Developer; and
 - b) the pro-rata share of the applicable Development Funding Payment for the Milestones then in development, based on the percentage of Man Days Developer has already spent for the development of such Milestones in relation to the projected total amount of Man Days required to finish development of such Milestones (as reasonably adjusted by Headup based on a good faith determination of Developer's actual progress for each respective Milestone)
- 11.2.2 Either Party may, at any time, terminate this Agreement with immediate effect giving written notice if the other Party:
- a) commits a material breach of any of its obligations under this Agreement that may not be remedied;
 - b) commits a material breach of any of its obligations under this Agreement that may be remedied and does not remedy the breach within a period of fifteen (15) Business Days after receipt of a written notice of the other Party requesting remedy of such breach; and/or
 - c) becomes insolvent, files an application for the commencement of insolvency proceedings over all or parts of its assets, insolvency proceedings are commenced, an application is dismissed for lack of sufficient funds, a reason to commence insolvency proceedings exists with respect to such Party, or similar circumstances relating to the (potential) insolvency or bankruptcy of such Party take place.
- 11.2.3 Unless explicitly stated otherwise in this Agreement, any right the Developer may have under applicable law to ordinarily terminate this Agreement shall be excluded.
- 11.2.4 Either Party's right to terminate this Agreement for cause remains unaffected.
- 11.2.5 If this Agreement is terminated by Headup pursuant to Section 11.2.2 or 11.2.4, the Publishing License and all corresponding rights granted under this Agreement relating to the Publishing of the Game in the form Developed and Delivered up to the date of termination shall remain with or pass on to Headup, including all rights of use and performance protection rights. Developer shall provide Headup with any documentation, material, source code and other information required for the further development and Publishing of the Game.

- 11.2.6 In any other cases than the cases described in Section 2.2.8, 11.2.2 or 11.2.4, upon termination of this Agreement, all rights granted hereunder shall fall back to Developer. However, Headup may, for as long as necessary, continue Publishing (i) any remaining manufactured stock of the Game held at its warehouse or by its publishing, distribution or other partners by way of Physical Publishing, and (ii) the Game in order to completely perform all publishing contracts and other project-related contracts with Headup's publishing, distribution or other partners or Headup's customers which Headup has concluded up to the time of receipt of the notice of termination. The duty to pay the corresponding Royalties pursuant to Section 8 remains unaffected for such period.
- 11.2.7 For the avoidance of doubt, termination or expiry of this Agreement shall be without prejudice to any rights or remedies available to, or any obligations or liabilities accrued to, either Party up to the date of termination.

12 Warranties, Indemnity

12.1 Warranties

12.1.1 Developer warrants and undertakes to Headup, at the time of entering into this Agreement and throughout the Term, that:

- a) it has the right to enter into this Agreement;
- b) it owns or has the right to use or grant licenses of all intellectual property rights in the Game necessary to grant the rights granted herein to Headup (including the Game's soundtrack and in-game music) and where applicable has obtained any necessary waivers;
- c) it will be solely responsible for fulfilling all of its obligations pursuant to any third party agreements including making all payments due to third parties;
- d) the Game and all other materials supplied by it shall not infringe on any personal, intellectual property rights or other rights of any third party;
- e) the Game is not and shall not be contrary to any applicable legislation or any codes, orders, regulations or guidelines. In particular (but without limitation) the Game is not and shall not be defamatory, indecent or obscene, nor shall it, if published, constitute a contempt of court, or promote hatred, violence or illegal activities or discrimination based on race, sex, religion, national origin, physical disability or age;
- f) the Game will be free from any liens, charges or other encumbrances which might prejudice or conflict with the rights granted in this Agreement; and
- g) the exploitation by Headup of the rights granted in this Agreement will not give rise to an obligation on Headup to make any payment (including any royalty payment) to any third party, except as expressly provided for in this Agreement.

12.1.2 Headup warrants that:

- a) it has the right to enter into this Agreement; and

- b) its entry into this Agreement will not cause any breach of its obligations to third parties.
- 12.1.3 Except as expressly stated in this Agreement, all warranties and conditions, whether express or implied by statute, common law or otherwise are hereby excluded to the extent permitted by law.
- 12.2 Indemnity
 - 12.2.1 Each Party to this Agreement (the "**Indemnifying Party**") agrees to indemnify and hold harmless the other (the "**Indemnified Party**") and all of the Indemnified Party's affiliated companies, officers, directors, employees, agents and shareholders from and against any and all expenses, costs (including the Indemnified Party's own reasonable legal costs actually suffered by the Indemnified Party), liabilities, losses or damages incurred or suffered by or threatened against the Indemnified Party as a result of any allegation, claim, demand or legal proceeding by a third party (including any allegation, demand or proceeding relating to the infringement of any intellectual property right) arising as a result of or in respect of any breach or alleged breach, non-performance, proven breach of any representation, warranty, undertaking or agreement of the Indemnifying Party contained in this Agreement.
 - 12.2.2 The Parties hereto shall promptly notify one another if any claim or demand is made or action brought against either Party for infringement or alleged infringement of any intellectual property right or otherwise emanating from a breach of this Agreement

13 Liability

- 13.1 This Section sets out the entire financial liability of each Party to the other in respect of:
 - a) any breach of this Agreement; and
 - b) any representation, statement or tortious act or omission (including negligence) arising under or in connection with this Agreement.
- 13.2 Nothing in this Agreement will exclude or limit either Party's liability in respect of any claims:
 - a) for death or personal injury caused by the negligence of such Party; or
 - b) resulting from any fraud (including fraudulent misrepresentation) made by such Party; or
 - c) for which liability may not otherwise be lawfully excluded or limited.
- 13.3 Subject to Section 13.2, neither Party shall be liable to the other in contract, tort (including negligence and breach of statutory duty) misrepresentation or otherwise for any loss of revenue, profit, business opportunity or anticipated savings, or for any loss of goodwill or reputation, or for any indirect or consequential loss.
- 13.4 Without prejudice to and subject to Section 13.2, the entire aggregate liability of each Party to the other whether arising in contract, tort (including negligence and breach of statutory duty), misrepresentation or otherwise arising by reason of or in connection with this Agreement shall be limited to the amounts paid and provable amounts payable. For the avoidance of doubt, such limitation shall not apply to the indemnity specified in Section 12.2.

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14 Confidentiality

- 14.1 Any and all Confidential Information disclosed or otherwise made available by one Party ("**Disclosing Party**") to the respective other Party ("**Receiving Party**") shall be kept confidential by the Receiving Party. "**Confidential Information**" means all business and trade secrets, other information or know-how pertaining to business, technical, organizational, financial, operational, regulatory or sales-related issues (including the existence and content of this Agreement and of the contractual relationship between the Parties) as well as research and development of a Party, its affiliates or business partners of which the other Party obtains knowledge during the Term, provided that the information is either labelled as confidential or must be deemed confidential due to the nature of the information or the means of its disclosure.
- 14.2 The Receiving Party shall not
- a) forward or otherwise make available Confidential Information to any third party,
 - b) use Confidential Information for purposes other than the purposes of this Agreement, or
 - c) make Confidential Information subject of any industrial property rights applications without approval of the Disclosing Party.
- 14.3 The Receiving Party shall take all reasonable steps and necessary precautions to prevent any use or disclosure of the Disclosing Party's Confidential Information contrary to this Agreement.
- 14.4 The Receiving Party may disclose Confidential Information only to its employees if and to the extent the respective employees have entered into a commitment with the Receiving Party in an adequate way and under terms and conditions which are equal to the confidentiality obligation set out in this Agreement and which prohibit an unauthorized use and disclosure of the Confidential Information of the Disclosing Party. To the extent employees of the Receiving Party to whom Confidential Information were disclosed are leaving the Receiving Party, the Receiving Party will ensure that the Confidential Information is covered by a valid post-contractual confidentiality obligation.
- 14.5 The Receiving Party may disclose Confidential Information to the Parties' respective auditors, professional advisors or insurance carriers subject to the arrangement of appropriate contractual or statutory confidentiality obligations, and who have a need to know such Confidential Information.
- 14.6 The Receiving Party shall notify the Disclosing Party without undue delay in writing if it becomes aware of any unauthorized use or disclosure of Confidential Information of the Disclosing Party and shall, upon the request of the Disclosing Party, take all reasonable measures to prevent another unauthorized use or disclosure of Confidential Information of the Disclosing Party.
- 14.7 The foregoing obligations of the Receiving Party shall not apply to any such information which:
- a) was public knowledge at the time of its receipt or subsequent thereto becomes public knowledge through no fault of the Receiving Party;
 - b) has already been known by the Receiving Party at the time of its receipt;

- c) was made available to the Receiving Party by a third party without any obligation to keep it confidential and not to use it;
- d) has to be disclosed to public authorities by law or court order, provided that the Receiving Party promptly informs the Disclosing Party of such disclosure obligation in order to enable the Disclosing Party to take reasonable steps to prevent that any such Confidential Information becomes publicly available; or
- e) has been developed by the Receiving Party independently and without violation of this Agreement.

14.8 At the request of the Disclosing Party or upon expiry or termination of this Agreement for whatever reason, the Receiving Party shall either return all copies of the documents and other records which contain Confidential Information to the Disclosing Party or destroy the Confidential Information upon written request of the Disclosing Party. Exceptions hereto are copies which the Receiving Party must maintain by virtue of law. Within thirty (30) Business Days after the request or the expiry or termination of this Agreement, the Receiving Party shall confirm compliance with this provision in writing to the Disclosing Party.]

15 Press Releases

Developer shall only issue press releases or other information relating to the Game or the business relationship between the Parties to third parties or the public upon prior written consent (e-mail being sufficient) of the other Party.

16 Notices

All notices, information, requests, consents and other communications required under this Agreement shall be made to the contact details listed below. If a Party intends to change its contact details, then it shall notify the other Party in writing (e-mail being sufficient) of the new contact details and the date on which this change shall become effective. Notices shall be deemed to have been received the Business Day after the email was sent to the correct address, provided that the sender does not receive an email delivery failure message in which case the notice shall not be deemed to have been received.

To Headup: Attention: Dieter Schoeller Address: Headup GmbH, Nordstr. 102, 52353 Düren, Germany E-mail: schoeller@headupgames.com	To Developer: Attention: Simon Blasen Address: Creactstudios UG, Bellenstein- straÙe 10, 77704 Oberkirch, Germany E-mail: simon.blasen@creactstudios.de
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17 Miscellaneous

- 17.1 This Agreement includes the entire agreements of the Parties in respect of the subject matter hereof; there are no side agreements.
- 17.2 In case of conflicts or ambiguity in or between Sections and Annexes of this Agreement, the provisions in the Annexes shall prevail.

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- 17.3 Any amendments or supplements to this Agreement shall be in writing. No relaxation, delay or indulgence by either Party in enforcing any right under this Agreement shall operate as a waiver thereof. All rights under this Agreement are cumulative and no right of either Party is, unless otherwise explicitly stated, intended to be in lieu of any others whether under this Agreement or at law.
- 17.4 Should any provision of this Agreement be or become invalid or should a loophole in this Agreement become apparent, this shall not affect the validity of the remainder of this Agreement. In such case, the Parties shall in good faith replace the invalid provision or fill the loophole with a valid provision which comes closest to the Parties commercial intention in relation to such invalid provision or loophole in terms of purpose and content, provided this does not result in any material change to the content of this Agreement.
- 17.5 Nothing in this Agreement and no action taken under this Agreement is intended to or shall operate to create a partnership, employment relationship or joint venture between the Parties, or to authorize either Party to act as agent for the other, and neither Party shall have authority to act in the name or on behalf of or otherwise to bind the other in any way, except where expressly stated otherwise in this Agreement.
- 17.6 Neither Party will be deemed in breach or default of any obligation under this Agreement to the extent that performance of its obligations or attempts to cure any breach are delayed or prevented by reason of any act of God, fire, natural disaster, accident, pandemic or epidemic, act of government, shortages of material or supplies or any other cause reasonably beyond the control of such Party ("**Force Majeure**"), provided that such Party gives the other Party written notice thereof promptly and, in any event, within ten (10) Business Days of discovery thereof, and uses its diligent, good faith efforts to cure the breach. In the event of such Force Majeure, the time for performance or cure will be extended for a period equal to the duration of the Force Majeure but not in excess of six (6) months.
- 17.7 Neither Party shall have the right to assign this Agreement or its rights and obligations hereunder (whether in full or part) to a third party other than an affiliate of such Party without the prior written consent of the other Party.
- 17.8 This Agreement shall be exclusively governed by and construed in accordance with the substantive laws of Germany. The United Nations Convention on Contracts for the International Sale of Goods (CISG) shall not apply.
- 17.9 Place of performance shall be Düren, Germany.
- 17.10 Any dispute, controversy or claim arising out of or in connection with the Agreement, or the breach, termination or invalidity thereof, shall be finally settled by the courts located in Düren, Germany or Cologne, Germany as by choice of Headup.

Düren, 19.6.2024

Place, Date



Dieter Schoeller
CEO
Headup GmbH

Oberkirch, 19.06.2024

Place, Date



Simon Blasen
Founder
Creactstudios

Annex [1] – Game Design Document

Concept statement

In PVV you can and have to construct vehicles by cleverly combining building blocks and mechanical parts to transmit the power from your engine to the road. Using these vehicles you can then progress through the career or compete with creations of your friends in multiplayer.

Genre

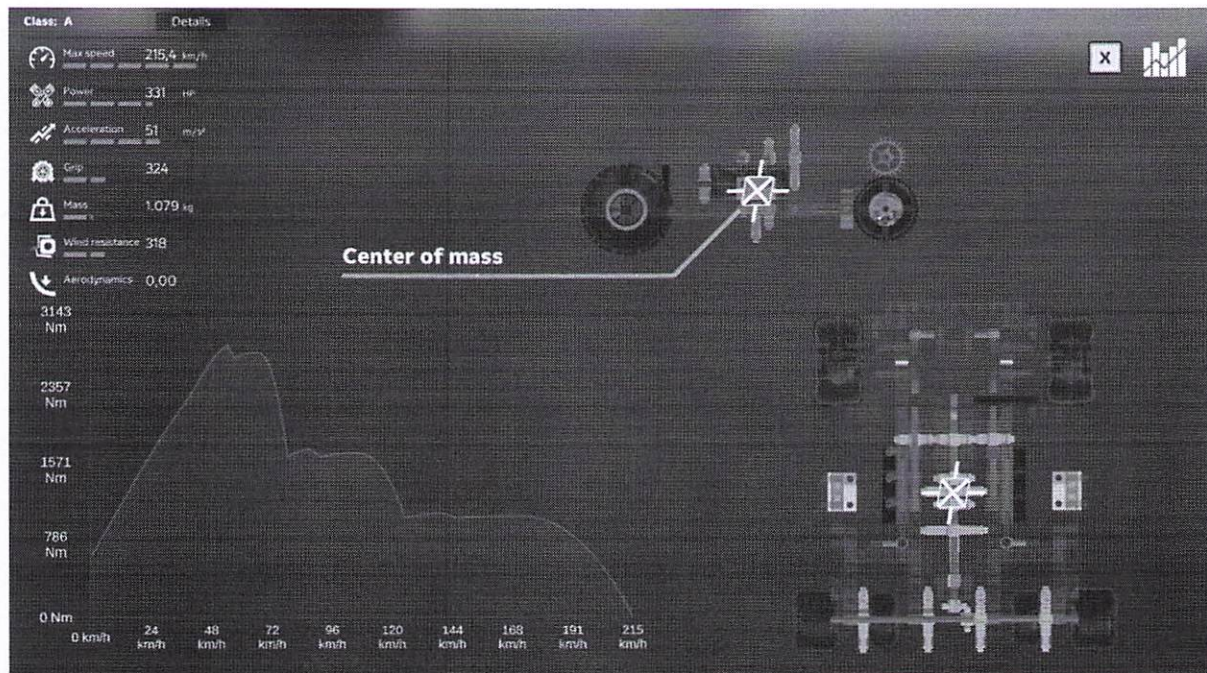
Racing, Sandbox, Simulation

Target audience

Our target audience are people who love to build and create things. In addition to that, we're also targeting people who enjoy car racing or who are into cars or vehicles in general. We assume that the majority of our target audience is male and between the ages of 12 and around 50.

Unique Selling Point

Our USP is the realistically calculated gear transmissions, which determine the acceleration, top speed and handling of a car considering how the player has built his car using various engines, gears and wheels.



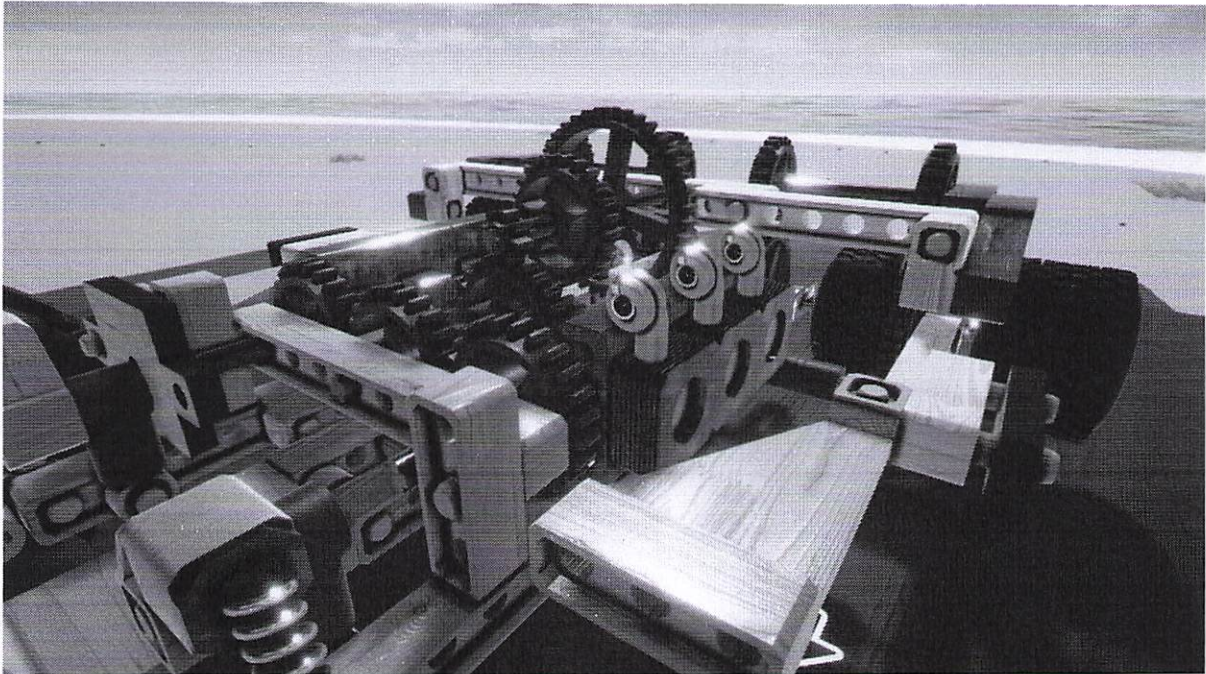
Player Experience and Game POV

The player is both a car mechanic, and a racing driver. He has absolute freedom in creating any kind of vehicle he can imagine. Using the powerful building system, he can build cars with any kind and amount of wheels. Similarly he designs the shape and the looks of the car. But most importantly, the player is responsible to enable the car to actually drive. By adding engine blocks to vehicles, and by connecting them to the wheels using axles and gears, the player can engineer his very own powertrain, determining the actual power of the vehicle, the acceleration and the maximum speed. On top of that, he can also

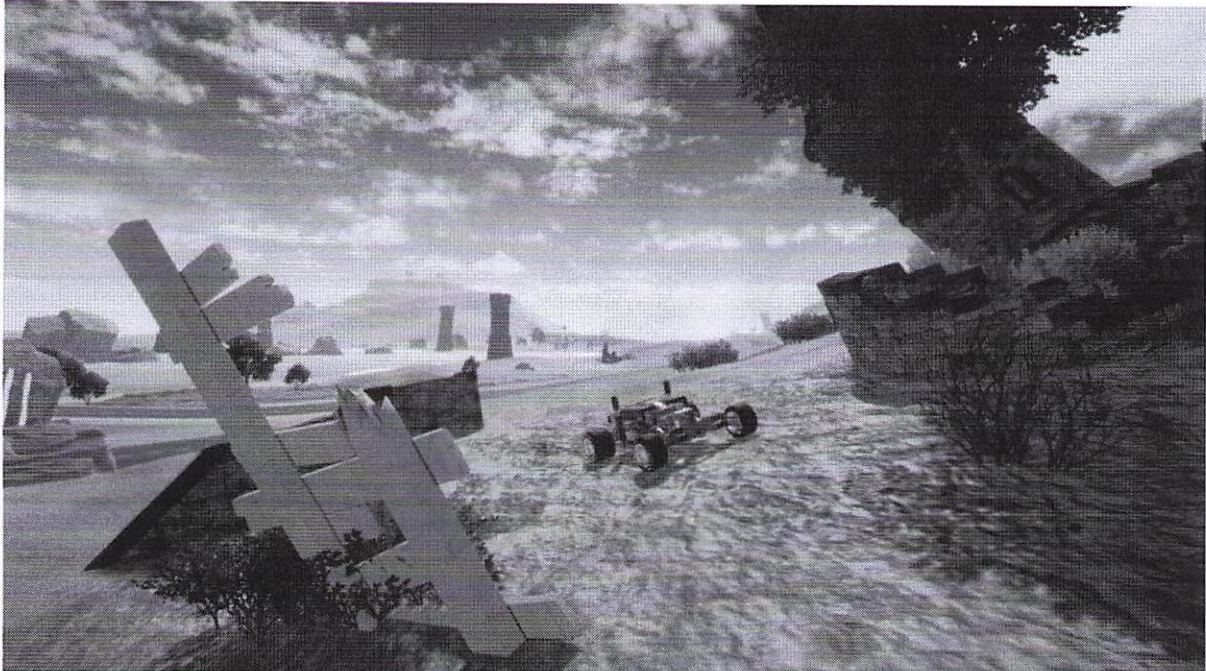
use pistons and stepper motors to construct any kind of mechanical elements like lift arms, grab arms or even walker legs. With these self-built creations, the player can grind his way through the career mode. There he faces various different challenges one after another, where he unlocks new building parts step by step.

At the same time, the player can take his creations into multiplayer, where he can meet with other players and compete with the creations of other players in said challenges, as well as dedicated multiplayer game modes.

Visual and Audio Style



The style of wooden vehicles and characters suggests a somewhat whimsical or fantastical aesthetic. The stylized, realistic-oriented world indicates that while the environment may have fantastical elements, it still maintains a grounding in reality, with detailed textures and lighting and should stick more to a logical and mechanical look and feel. The island's structure and roads should cover the different demands of the cars the players are able to build such as curvy dirt roads, off-road tracks or long and broad asphalt streets.



The presence of a career mode suggests a structured progression system, guiding players through various building parts and challenges. The inclusion of "ridiculous" King and Queen opponents adds a humorous element to the narrative, inviting players to embrace the playful tone of the career mode, which serves as a welcome contrast to the potentially overwhelming aspects of the logical building mechanics. The atmosphere of the visual and auditory is amusing and humorous as the king and queens as opponents should not be taken too seriously giving the players joyful competitions. In comparison to that, the building and construction part of the game follows a more serious atmosphere using detailed car analytics and a well structured overview of cars, building parts and data.

Game World Fiction

Hop into your favorite car and impress the local monarchs by driving over their island covered with royal castles, beautiful stone parks and towering mountains. Feel the warmth of the sun on the expansive network of roads that weave through the landscape, linking various landmarks on the map. Or you venture off-road to explore hidden treasures in ancient ruins. Briefly describe the game world and any narrative in player-relevant terms (as presented to the player).

Monetization

The game will be monetized as a free to play title along with a Supporter Pack DLC. All game content will be available in the free version of the game. The Supporter Pack DLC, that will be sold at 4,99 USD/EUR, features vanity items, such as metal texture colors for building parts and customizable license plates. For the license plates a tool is used to avoid that players will be able to use bad language. Additionally, the game can be extended with content after the release with further DLCs. There could be DLCs with more maps or more building parts, so there is some more potential to monetize the game after its release.

Platform(s), Technology, and Scope (brief)

The game is primarily targeted for PC and consoles. Since the game has high demands for hardware, and due to the complex building system it is not suited for mobile. Since the two most relevant gameplay elements are driving and building, which can be performed with controller quite well, it is also suited for consoles.

Since we currently target only Steam for Early Access release, we also implemented the Steam workshop. So players can easily upload their self-built vehicles to the Steam workshop, and other players can download any vehicles they like from the workshop. They can then use these vehicles to just drive around and play challenges, or they could create a copy in their garage and modify other people's vehicles as well.

The game is made in Unity, it uses a self-made building system and car calculation algorithm, as well as a self-made multiplayer networking solution. It has been in the making for almost 8 years (on-and-off development due to university), and is done by two people.

The game is already in a playable state. The current version consists of a short singleplayer career, which takes around 2 hours to complete. After that, the player usually keeps on playing to build more cars and vehicles, and of course to play the multiplayer, which offers nearly endless playtime.

The biggest unknown and risk of the game is the amount of players the game can handle in multiplayer. We tested the game with up to 8 players on one server, and we assume that the game cannot handle much more players in the current state, because the cars are actually the limiting factors when it comes to performance.

Core Loops

The core game loop is the following:

The player builds a vehicle, then he performs a challenge with that vehicle. After that, the player will return back to the building mode to improve the car, and either try to improve bad performance, or to improve the car by adding newly unlocked parts.

In multiplayer, the loop is pretty similar. The player will build a vehicle, and then performs some challenges or plays one of the multiplayer game modes. Then he goes back to the building and changes or improves his vehicle, or even starts building a new one.

There is also an alternative game loop for players, who are not that into the building system, or who find the building to be too complex. Since the game implements the Steam workshop, players can also grab any vehicles created and uploaded by other players from the Steam workshop. Some players then may use these vehicles to play challenges or game modes in either single or multiplayer, and the possibly don't build their own vehicles.

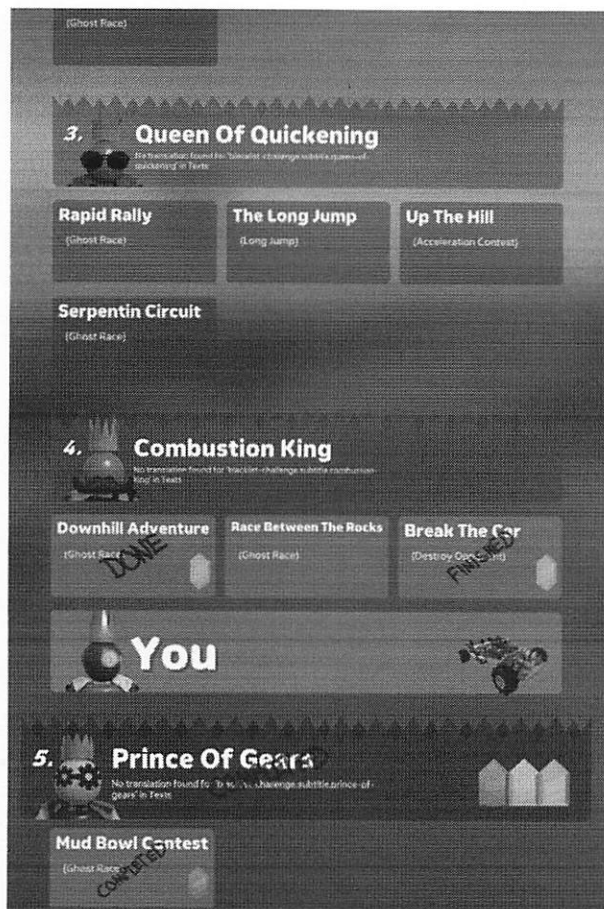
How do game objects and the player's actions form loops? Why is this engaging? How does this support player goals? What emergent results do you expect/hope to see? If F2P, where are the monetization points?

Objectives and Progression

The game starts by guiding the player through the most important functions of the game by using first a building tutorial and then a driving tutorial. The player then knows both of the most important modes of the game. Afterwards the player is getting an overview over the different windows such as the garage, where the player organizes and builds its cars, the map for the free drive, the career with the different challenges the player has to master to unlock new parts and learn how to use them and the workshop, where the player can see other players' constructions and can download them.

During the career the player always gets an introduction to new mechanical parts as each monarch the player must beat using a new special technique for their car such as a gear shift for example.

Each challenge the player beats unlocks a new part the player can use to increase the way the car works. That way the player is pushed challenge after challenge to rebuild parts of its car making it always somehow different and interesting for the next challenge. The long term goal is that the player learns all mechanics the game offers to create advanced or just crazy constructions which then can be used to either redrive the challenges and get a better ranking or to drive with their own cars in the multiplayer against friends.



Game Systems

The building system and car calculation are the most prominent systems in the game.

The building system offers a lot of freedom when building vehicles. It is restricted to a 90 degree grid, so parts cannot be placed in a 45 degree angle, for example. Otherwise the building system is quite powerful, and it even allows the players to construct their own hinge joints. So although the game is designed for building race cars, it is possible to build airplanes, walking robots or various other machines.

Whenever the player finishes building a vehicle, the game automatically calculates all properties of the vehicle, like top speed, acceleration, weight etc. So the player very often uses these systems.

Apart from that there is of course also the driving physics. These tend to be realistic, but also as realistic as a car simulation to make the cars easy to drive. But at the same time, the player can feel the difference

of building cars that have bad properties like a bad acceleration, or bad handling. So the player experiences the impact of building and constructing vehicles smart and cleverly.

- Major changes and amendments to the Game Design will be mutually agreed via email.

Annex [2] – Product Specifications

- Product: Screw Drivers
- Rights are granted for all platforms supported by the Unity Engine.
- Platforms Developer delivers to Headup:
 - *PC (Steam)*
- Game Engine: Unity 2021.3.20f1
- Targeted Age Rating: 0 max (or equivalent)
- Security: Copy protection as per the digital platforms.
- Disaster recovery provisions: Remote Data Backups
- Minimum and optimal system requirements (PC):
 - OS: Windows 11
 - Processor: Quad Core with at least 3.0 GHz
 - Memory: 8GB RAM
 - Graphics: NVIDIA GeForce GTX 970 or AMD Radeon R9 380X
 - DirectX: Version 11
 - Storage: 15GB
- Planned platform specific feature support (e.g. Steam specific features like Cloud Save, Achievements, PS5 Gamepad Features, 3D Audio, Xbox Accessibility Support ...)
 - *Steam Cloud Save*
 - *Achievements (probably for full release, not for early access already)*
 - *Steam Workshop*
 - *Controller Support*
- Required documentation to be delivered by Developer as part of playable milestones:
 - Controls how to play the game
 - Known issues
 - Common FAQ
 - Walkthrough/Cheat codes
 - Developer will do a smoke test on a clean PC before sending playable milestones to Headup
 - Documentation of reached and missed goals for the milestone
- Categorisation of program errors: In particular, the following programme errors are defined as an A-bug:
 - a system crash; the system shuts down unintentionally
 - a programme crash; the Software unintentionally stops and/or returns to the system menu/desktop/dashboard
 - freezing; the Software ceases to react and is no longer operable without rebooting the system

- a serious error; the general operability, the fundamental feel of the game or the system integrity is impaired, or the Software adversely affects other programmes
- blockers; it is not possible to play the Software right through from start to finish.

In particular, the following programme errors are defined as a B-bug:

- a serious graphic error which affects the general graphic quality of the Software
- a serious performance error which affects the general quality of the Software or does not meet the criterion under the GDD specification
- a serious compatibility error which prevents the Software from interacting with other Software, hardware or peripheral equipment
- absence of a feature, affecting the functionality and/or general quality of the Software
- faulty features which do not execute correctly and affect the general quality of the Software
- incorrect language material which contains errors or has not been implemented correctly.

In particular, the following programme errors are defined as a C-bug:

- problems with the game balance, affecting for example the choice of degree of difficulty of the game and/or the game experience; this includes, among other things, player hindrance or other unfair behaviour of the Software, obvious ways of tricking the programme, excessively harsh requirements for winning, etc.
- user guidance problems preventing features, game control, screen displays and/or other game elements from being intuitively executed or from being executed in a manner which is satisfactory for the player
- minor graphic errors which do not affect the general graphic quality of the Software or curtail the functionality of the Software
- minor functional errors which do not affect the general operability of the Software
- minor audio problems which do not affect the general quality of the voice and/or sound material
- minor text errors, defined as, among other things, spelling errors, incorrect grammar or other linguistic errors potential for improving the general quality of the Software

- Specification of key employees to be deployed in the development
 - Simon Blasen (Programmer)
 - Marc Bendt (Game Designer, Graphics Designer, Sound Designer)
- Changes in key personnel, i.e. through employees resigning, will be communicated to Headup via email. Developer will make best efforts to replace any leaving personnel with new employees of a similar skill set.

Annex [3] – Milestone Plan

- Version Milestones
 - MS1: Early Access Launch version - 31.05.2024
 - Definition: A playable version for an early access Steam release. Including one island map with a short career and multiplayer with dedicated servers.
 - MS2: Character Editor - 31.08.2024
 - Definition: A character editor, where the player can customize his own character. Also the character sits in the car of the player. The monarch opponents also will have 3D characters that sit in their cars, if you challenge them.
 - MS3: More building parts - Spread over the summer, beginning with July
 - Definition: Add more building parts to the game, like new tires, new engines, new gears, new decoration parts etc. We will add these to the game step by step, so some of them in July, then some more in August and so on.
 - MS4: Multiplayer Game modes- Spread over summer, beginning with August
 - Definition: Depending on the player feedback, and what kind of game modes players would like to see in the multiplayer, we will implement and add certain game modes to the multiplayer.
 - MS5: New physics features - Around September
 - Definition: Adding new physics features to the game. Like airplanes, boats, fuel tanks, tank tracks, dedicated walker legs, cooling systems, cables, logic programming, etc. There are many novel ideas that we could add to the game. And depending on the player feedback we will focus and implement some of them.
 - MS6: More islands - Spread over the whole early access
 - Definition: We will add more islands with potentially different themes to the game. Each island will contain various new challenges and add to the career mode. We plan to add at least two new islands, and if possible we would like to add at around 4 new islands, so we have 5 islands in total.
 - Preview version & public demo build: (Dates are listed below)
 - Definition: *A build that contains a small, polished portion of the game and is fully functional.*
 - Physical event: PC Windows Build with automatic reset after 5 minutes of no input; trailer loop when no input. Length: 5-10 minutes. Playable with gamepad. - Will be delivered until 26th of July 2024.
 - Digital event: PC Windows Steam Build. Length: 5-10 minutes. Playable with gamepad. Call to action "Wishlist now" tbd. Console builds tbd - Will be delivered until 7th of June 2024, in time for Steam Next Fest.
 - Capture Build: (Is always included in the game)
 - Definition: PC build with the option to switch UI/HUD on/off and free camera movement for internal capture purposes - Can be toggled in the settings menu, and then the UI can be toggled with the 'U'-key. Free camera will be delivered until 7th of June 2024.

- PC Milestones will be delivered as Windows Steam build and can be accessed through a Steam beta key.
- Developer will test every milestone delivery on a clean PC setup before sending the milestone to Headup.
- Documentation to be delivered by Developer: See Annex 2
- Developer is responsible for internal QA. Headup is responsible for external QA and will provide feedback based on internal and external QA to Developer.
- If developer needs any console dev kits or test kits, developer will take care of purchasing them by himself.

Annex [4] – Localisation and Porting

Localization

- Developer shall furnish Headup with the product in the following languages:
 - English
- Developer shall provide a master localization file in csv or xls format to Headup in the following languages:
 - English
 - Delivery date of localization kit: Q4 of 2024
 - Estimated max. word count: (no estimation yet) words
 - Potential planned languages after early access:
 - English
 - German
 - French
 - Spanish
 - Simplified Chinese
 - Japanese
 - Korean
 - Russian
 - Brazilian Portuguese
- Headup is responsible for the localization of the specified languages in the game
- Developer is responsible for the implementation of the localized languages in the game
- Headup will be responsible for the localization of store-, promotion- and marketing material

Porting

OPTION 1 (Developers port themselves)

- Developer is responsible to port the game to the agreed platforms. Further platforms other than the agreed platforms in this agreement must be mutually agreed between Developer and Headup.

OPTION 2 (Headup is responsible for ports)

- Headup is responsible to port the game to further platforms besides PC. Platforms other than the agreed platforms in this agreement must be mutually agreed between Developer and Headup.
- Developer will make sure to provide access to the project files and any additional information required for the ports. Developer will support Headup and the porting studio with technical questions during the porting process.
- Developer will attend regular calls with Headup and the porting studio if requested by Headup.

Annex [5] – Publishing Plan

- Developer shall supply Headup with elements for the promotion and asset creation of the Product. (Hi-Res layered PSD files). Developer will furnish Headup with Artwork of the Product and additional graphical elements for the creation of marketing materials. The minimum scope shall consist of:
 - Game Logo (vector file & PNG): A game logo already exists for the name “Project Screw Drivers”.
 - Developer Logo (vector file & PNG): Will be sent until the end of May 2024
 - App Icon: Already exists (Two slightly offset ‘V’s)
 - Fonts: Will be shared around September, when the font in the game is final.
 - Key Visual (landscape and portrait format, layered PSD file): Around September (2 months before announcement of full release)
 - Key Character Artwork (layered PSD file): Around September (2 months before announcement of full release)
 - Product Description (Long and short description) (English): Around September (2 months before announcement of full release)
 - Number of iterations for marketing material: 2

Marketing Asset Milestones

The trailer may be created in cooperation of Headup and the developer. Marc is an experienced video editor himself, and we could create the trailer whilst working together, if that sounds good for Headup.

- **Trailers** (*Option 1 – Headup creates trailers*)
 - Developer will supply Headup with the following trailers and footage. Raw footage would be needed one month before planned release of final trailer.
 - Announcement Trailer: 1 month upon request
 - Story Trailer: within 1 month upon request
 - Gameplay Trailer: Finished Trailer: within 1 month upon request
 - Release Date Announcement Trailer: within 1 month upon request
 - Launch Trailer: Date of Game's 1.0 launch or Early Access release
 - WIP-Footage: within 2 weeks upon request
 - Additional assets: to be mutually agreed via e-mail
- **Trailers** (*Option 2 – Developer creates trailers*)
 - Developer will supply Headup with the following trailers and footage:
 - Announcement Trailer: DATE
 - Gameplay Trailer: DATE
 - Story Trailer: DATE
 - Release Date Announcement Trailer: DATE
 - Launch Trailer: DATE

- WIP-Footage: within 2 weeks upon request
- **Screenshots and other assets:**
 - Screenshot Package 1 (5-10 High resolution screenshots per platform): 2 months before announcement
 - Screenshot Package 2 (5-10 High resolution screenshots per platform): within 2 weeks upon request
 - Screenshot Package 3 (5-10 High resolution screenshots per platform): 2 months before release
 - GIFs: to be mutually agreed via e-mail
 - Additional assets: to be mutually agreed via e-mail

Social Media

- Developer will be active to at least a commercially feasible and reasonable extent on relevant social media and community platforms - both independently (developer posting themselves) and in conjunction with publisher, being available for meetings and supplying assets requested and make best efforts to support Headup with social media activities. This also includes creating and managing account(s) for the game or developer on relevant platforms including but not limited to TikTok, Twitter and Instagram.
- In addition to the official channels, Headup reserves the right to create community hubs for the game on Headups platforms, such as our Discord server or similar platforms. These channels will be managed by Headup.

PR & Events

- All game related PR releases shall be sent for consultation to Developer by Headup prior to release
- Developer will make best efforts to be available for interviews, op-ed features, blog posts and other PR opportunities designed to highlight both the game and the developer. These would be created in collaboration with the developer and the Headup PR team. Developer will make best efforts to attend meetings/conferences if requested by Headup when mutually agreed upon
- Marketing strategy & plan delivered to developer: 3 months before announcement date

Store Assets

- Steam Tags / Keywords (will be mutually agreed between Developer and Headup): 3 months before announcement date
- Xbox Backend information to the following questions and to be discussed when planning the console ports:
 - Gameplay Video: Minimum 2 minutes
 - "The Hook" Description: Quick pitch for the game
 - Xbox Series X/S Difference: Differences between Xbox One and Xbox Series
 - 4K/8K Higher Support: Do you intend to target native 4K resolution or higher?
 - HDR: Do you intend to utilize HDR for this title?

- Ray Tracing: Do you intend to leverage Ray Tracing for Xbox Series S/X?
- High Frame Rate: HFR above 60 FPS planned?
- Direct Storage: Do you intend to support Direct Storage for Xbox Series S/X version?
- Cross Generational Content: Yes
- Cloud Aware: Yes/No
- Gameplay Details: List and describe various single/multiplayer modes. Provide 60 seconds of detailed moment-to-moment walkthrough of the core game experience. Tell what player are seeing, doing (with the controller) and what they are thinking (what are their goals and immediate concerns)
- Competing Titles
- Cross Play: with Windows Store/Win32/PlayStation/Switch versions
- Xbox Play Anywhere: Users may purchase the game either on Xbox or Win 10 Store and get both versions
 - If "no": Do you plan to integrate: Cross-Ownership/Cross-Save/Cross-Progression/Shared Achievements?
- Add-On Content Plan: DLC Packs/Durabels/IAP Consumables/Free Add-On Content
- User Generated Content
- Additional Middleware Notes
- Development Studio Experiences: Previously Shipped Titles incl. Platform and Year Shipped
- Key Team Member Experience: Name, Game Title, Platform, Year Shipped

Option 1 (Headup is responsible for creating the store assets)

- Headup shall be responsible for the creation of the store assets. Developer will support Headup if necessary.
- Headup shall have the non-exclusive right to use the above-mentioned materials during the Term and in the Territory for marketing and distribution purposes in favour of the respective Product Headup will localize all Store assets and required marketing assets
- Headup will have the final say on all assets mentioned in this Annex 5.

Option 2 (Developer is responsible for creating the store assets)

- Developer shall be responsible for the creation of the store assets. Headup will provide Developer with a list of all required store assets.
- Delivery of store assets: (4 weeks prior to announcement of the game)
- Headup shall have the non-exclusive right to use the above-mentioned materials during the Term and in the Territory for marketing and distribution purposes in favour of the respective Product Headup will localize all Store assets and required marketing assets
- Number of iterations of store assets: 2
- Headup will have the final say on all assets mentioned in this Annex 5.

Annex [6] –Support and Maintenance

- Headup will be responsible for first level support, Developer to provide further support for a period of at least 12 months after initial launch of the product.
- Within a reasonable timeframe Developer will support Headup for any support requests
- Developer will document known issues and provide Headup with a document laying out workarounds and solutions if applicable
- Developer will take best efforts to fix any A-Bugs, that appear after launch and provide according patches at the earliest convenience.

Annex [7] –List of Subcontractors

- All Subcontractors are pre-approved

Annex [8] –General Business Terms

1 Territory: Worldwide

2 Royalties and Development Funding Payment

2.0 Headup pays to Developer a fully recoupable development funding payment to cover internal and external costs of Developer required for the development of the Game, payable in instalments relating to the Delivery of different Milestones as specified below (the "**Development Funding Payment**").

2.1 Headup pays to Developer royalties calculated on the basis of the Net Revenue (as defined below) in the form and amount and for the periods specified below. (the "**Royalties**").

"**Net Revenue**" means the Gross Revenue less applicable sales taxes, VAT (or its equivalent in any local market) or any similar taxes applicable to the Publishing and less the following deductions: All product- and marketing-related costs, particular any development funding according to Annex 8 Nr. 2, the Compensation paid as per the Prototype Development Agreement for the Prototype of "BrummBrumm" dated 25th April 2023, localization, advertising in all media, marketing, product costs, duplication- and shipping costs, product- and distribution related taxes and governmental charges, or similar expenses.

"**Gross Revenue**" means all monies received on Headup's banking accounts relating to the Publishing including any price money, first party funding or any other sources of income for the Game.

Any external costs incurred by Headup in relation to the Game (including, without limitation, any external costs relating to enable, facilitate or carry out the development of the Game and the Publishing) (the "**Headup External Costs**") as well as the Development Funding Payment shall be fully recoupable by Headup from Developer as specified in **Annex [8]**.

Monthly Milestone Payments after Prototyping phase (total 117.333,26 €):

1) MS1 – 15 th November 2023:	10.666,66€ (already paid)
2) MS2 – 15 th December 2023:	10.666,66€ (already paid)
3) MS3 – 15 th April 2024:	10.666,66€
4) MS4 – 15 th May 2024:	10.666,66€
5) MS5 – 15 th June 2024:	10.666,66€
6) MS6 – 15 th July 2024:	10.666,66€
7) MS7 – 15 th August 2024:	10.666,66€
8) MS8 – 11 th September 2024:	10.666,66€
9) MS9 – 12 th October 2024:	10.666,66€
10) MS10 – 13 th November 2024:	10.666,66€
11) MS11 – 14 th December 2024:	10.666,66€

Furthermore, Developer shall receive a royalty rate of 35% of the Net Revenues as defined in Annex 9, 2.2. on a quarterly basis.

Annex [9] – Confirmation of Developer concerning Music Rights

Herewith Developer confirms that Utilization and Exploitation Rights for the Product have been transferred to Headup, Germany, according to the Licensing Agreement.

Moreover, the Developer confirms that:

The Product contains music titles which do not have to be registered with a collecting agency. The copy right owner of the music is not a member of a collecting agency. The Utilization and Exploitation Rights for the music or sound elements have been licensed to Headup within the framework of the licensing agreement mentioned above.

Oberkirch, 19.06.2024

Place, Date



Simon Blasen
Founder, Creactstudios